THE SETTLEMENTS OF DISPUTES IN SPACE: NEW DEVELOPMENTS

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The settlement of disputes is not a problem of recent days, as one might be inclined to believe. In fact, it has preoccupied the minds of those interested and involved in finding adequate solutions for a considerable period of time. Therefore, before embarking upon a sketch of the latest developments surrounding this important issue, it is useful to briefly review what has happened in the past and what has been achieved.

Arbitration

The first attempts to address the problem date back to the last decades of the 19th century, and they led eventually to the establishment of the Permanent Court of Arbitration. On July 29, 1899, the sovereign powers meeting in The Hague at what was to become known as the First Hague Peace Conference adopted a "Convention for the Pacific Settlement of International Disputes."[1] This Convention established the Permanent Court of Arbitration (PCA): the first global mechanism for the settlement of disputes. The 1899 Convention was revised in October 1907 as a result of the Second Hague Peace Conference.[2]

The PCA is one of the oldest institutions dedicated to resolving international disputes, and it has served the community of nations for nearly 100 years. Lately, however, the PCA adopted two new sets of rules of arbitration. The first set, issued in October 1992, is designed for optional use in resolving disputes between States. One of the issues that may be raised in State arbitration is whether or not a State has the capacity to enter into an arbitration agreement. This capacity depends on its national law.[3] The second set, adopted in July 1993, is designed for disputes between States and non-State parties. Both sets are patterned after the widely accepted arbitration rules of UNCITRAL (the United Nations Commission on International Trade Law). These rules have been in force since July 6, 1993. The International Bureau (Secretariat) has its offices in the Peace Palace in The Hague.

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1 Convention for the Pacific Settlement of International Disputes, July 29,1899; 32 Stat. 1799.

2 Convention for the Pacific Settlement of International Disputes, Oct. 18,1907; 36 Stat. 2199.

3 P. Sanders, *Private Parties and the Permanent Court of Arbitration, in* THE FLAME REKINDLED. NEW HOPES FOR INTERNATIONAL ARBITRATION, 6 LEIDEN J. INT'L L. 289-291 (Special issue, 1993).

Settlements of disputes through the International Court of Justice

Also in 1899 the Permanent Court of International Justice was established by inter-governmental agreement at The Hague in the Netherlands. This agreement was also revised in 1907. Towards the end of World War II in 1945, the United Nations Organisation was set up and its Charter stipulated in its Article 2, section 4, that "All members shall settle their international disputes by peaceful means in such a manner that international peace and security, and justice, are not endangered."

To further this aim the International Court of Justice was established, based on Article 92 of the UN Charter which states: "The International Court of Justice shall be the principal judicial organ of the United Nations. It shall function in accordance with the annexed Statute, which is based upon the Statute of the Permanent Court of International Justice and forms an integral part of the present Charter." Only States can bring their disputes before this Court.

Settlement of disputes in space law

The Space Treaty of 1967,[4] which is the fundamental instrument of outer space law, refers in its Articles III and IX only to the general principles of international law for the settlement of disputes. The Convention on International Liability for Damage Caused by Space Objects of 1971[5] has established a Claims Commission, but its decisions have no binding force. No rules concerning disputes are to be found in any other space law treaties.

Special courts

In addition to the above mentioned organization there are 'special courts.' In the sphere of aviation and space activities there is an International Court of Air and Space Arbitration, established in 1994 by the Société Française de Droit Aérien et Spatial. It is designed for the swift and economical settlement of any contentious matters related directly or indirectly to air and space activities. This is currently the only international arbitration organization specifically for air and space. Arbitration costs shall be based on French standards which are considered very reasonable in such a system. Consequently, costs shall be lower than

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4 Treaty on Principles Governing the Activities of States in the Exploration and Use of Outer Space, Including the Moon and Other Celestial Bodies, Jan. 27, 1967, 18 U.S.T. 2410, T.I.A.S. No. 6347, 610 U.N.T.S. 205 (hereinafter "Outer Space Treaty"). For the text of this treaty, see also I.H. PH. DIEDERIKS-VERSCHOOR, AN INTRODUCTION TO SPACE LAW, Annex 1, at 149-156 (1993).

5 Convention on International Liability for Damage Caused by Space Objects, March 29, 1972, 24 U.S.T. 2389, T.I.A.S. No. 7762, 961 U.N.T.S. 187 (hereinafter "Liability Convention"); for a text see also AN INTRODUCTION TO SPACE LAW, *supra* note 4, Annex 3, *at*163-172.

in lawsuits in the national courts of many countries or in certain other arbitration organizations. It is expected that parties will have a financial interest in resorting to such arbitration and will subsequently refer cases more readily and more regularly to the new Court of Arbitration. Lastly, its Rules of Arbitration cover two major points required by the specific nature of the subject matter: first, the Rules provide for an interim arbitration procedure which parties may implement when they deem urgent provisional measures to be necessary; second, the Rules stipulate arrangements for appointing French and foreign experts listed according to their specialist areas and recommended by the Court.

Settlement of disputes in telecommunications

Extremely important activities are being carried out in space in telecommunications. Organisations dealing with these matters, such as the International Telecommunication Union (ITU), the International Telecommunications Satellite Organisation (Intelsat), and the International Maritime Satellite Organisation (Inmarsat) have, unlike the space treaties, detailed rules governing the settlement of disputes. They failed, nevertheless, to cover all situations, as was evidenced in a case involving the Kingdom of Tonga.[6] It is worth noting that domestic legislations do sometimes contain rules regulating the settlement of disputes, for instance, in the USA the NASA (National Aeronautics and Space Administration) and COMSAT (Communications Satellites) Acts are instances in point.

New developments and ideas

In 1996 the International Court of Justice celebrated its 50th anniversary, and this milestone can be taken as a point of departure for describing contemporary developments and new thinking on the problem of settling disputes. For this celebratory occasion a Colloquium[7] was arranged where several aspects of the work of the Court were discussed. One of the sessions, organized and presided over by Judge Vereshchetin, was dedicated to the issue of 'Equipping the Court to deal with developing areas of international law: Space Law.' In his introduction, the Chairman emphasised that the purpose of the session was to generate new ideas. Böckstiegel, who is an expert in this field and who was also the main speaker in this session, mentioned that, in view of the growing tendency toward commercial space activities and private enterprises, there was a growing demand for effective dispute settlement involving space activities. Pointing out that sufficient means in the form of arbitration organizations

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[6] R. Oosterlinck, *Tangible and Intangible Property in Outer Space*, 39 PROC. COLLOQ. L. OUTER SPACE 271-283, at 278-279 (1996).

[7] INCREASING THE EFFECTIVENESS OF THE INTERNATIONAL COURT OF JUSTICE, PROC. ICJ/UNITAR COLLOQ. TO CELEBRATE THE 50TH ANNIVERSARY OF THE COURT (C. Peck and R.S.Lee eds., 1997).

were available for international business relations, Böckstiegel noted that these were lacking insofar as disputes involving States and international organizations in the field of space law were concerned. At the end of his lecture, Böckstiegel put several questions on this aspect to his audience. Böckstiegel's questions and other ideas suggested during the discussion were a stimulant for me to reconsider the entire subject of 'settlements of disputes in space'.

For a start, I would like to stress that the term 'space law' can be interpreted by different people in different ways. We are dealing with legal problems arising from the use and exploration of outer space, and these problems can be about outer space, space to earth, earth to space aspects. They can concern not only international public law, but also tort, contracts, environment, antitrust, taxation, intellectual property, insurance, citizenship, etc. Sometimes a thorough knowledge of space science and technology is also necessary. The problem has also been identified and recognized by the International Law Association, as is evidenced by a study and proposals of its Space Law Committee, which will now be called 'Convention on the Settlement of Disputes Regarding Space Activities' instead of 'Convention on the Settlement of Space Law Disputes'[8]

For States it is possible to select the International Court of Justice as a body for the settlement of space law disputes. This would be an all the more obvious and justified choice as several judges of the Court are well acquainted with space law.

Special chambers

One of the suggestions Böckstiegel made was in the form of a question: 'as the full Court of Justice may be considered as not best fit for settling disputes regarding space activities and taking note that the Court in 1994 established a chamber specifically to deal with environment cases, could a special chamber be created for space disputes?' He suggested that the duties of the Environmental Chamber could easily be widened to deal with matters involving Space Law, for instance if a dispute were to arise about damage caused by debris of spacecraft traced as belonging to a State or organization of States to a spacecraft of another State or organization. According to Article 26, section 2, of the Statute of the International Court of Justice the Court may at any time form a chamber to deal with a particular case. Böckstiegel thought in this context, in terms of a standing chamber of the Court, while my thinking tends to favor a Court *'ad hoc'*. However, Böckstiegel was of the opinion that the one does not exclude the other, and that one may have a wider option than one thinks in the International Court of Justice. Judge Schwebel clarified this point by giving a clear survey of the origin of Article 26, section 2 of the Statute of the International Court, saying that there are two sorts of chambers contemplated by the Statute. He explained that the first category are

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[8] *See* M. Williams, *Report on Dispute Settlement Regarding Space Activities, in* REPORT OF THE 67TH CONFERENCE OF THE ILA 457-470 (Helsinki, 1996).

chambers for a particular subject, which are standing chambers. These were prescribed in the Statute of the Permanent Court for Transport, Communications and Labour but, as Judge Schwebel mentioned, they were never actually used. When the Statute was rewritten in 1945, those specific references were simply deleted, but the possibility of creating a standing chamber of the Court was retained and it has indeed been implemented. In the case of the Environmental Chamber, Judge Schwebel came to the conclusion that there are no other chambers as yet, but 'there is certainly no reason why a chamber on space problems - standing chamber of the Court - could not be set up.' [9]

Judge Schwebel further considered that the parties involved in a special case would not be able to express their views on the composition of such a standing chamber, but that in an *'ad hoc'* chamber of the Court the parties would be able to submit their views on its composition, although the Court would of course have the final decision in the choice of the judges.

Responsibility of the State in space law

Another aspect is the increasing involvement of private enterprise in space law. Both Böckstiegel and Von der Dunk have expressed opinions on this topic, especially about the question of State responsibility for private activity, and how far sovereign rights of individual States may extend into the area of outer space while the main principle of outer space law is that no rights of sovereignty of a State can be claimed in outer space.[10] However, in my opinion, it would be unrealistic to deny that there is a lot of hidden sovereignty in space. A State can decide whether or not it will allow the reception of political or religious programs through telecommunication means. States can prohibit remote sensing activities, and they can also claim intellectual property on the data and results obtained by space activities. But with the commercialization and privatization of space activities and the increasing need for closer cooperation the influence of the States may diminish.

In this context the definition of 'launching State' can also be of importance. According to Article 1 of the Liability Convention of 1972, a 'launching State' is "a State which launches or procures the launching of a space object, or a State from whose territory or facility a space object is launched." Two things must be noted in connection with this definition: 1) No mention is made of the moment in time when the launching will start; 2) When a launching takes place on the territory of another State, there usually is a prior agreement between the States concerned.

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9 *Equipping the Court to Deal with Developing Areas of International Law: Space Law, in* INCREASING THE EFFECTIVENESS OF THE INTERNATIONAL COURT OF JUSTICE, *supra* note 7, at 445-465.

10 Outer Space Treaty, *supra* note 4, Art. II.

In Principle 2 of the Nuclear Power Source Principles of 1992,[11] however, there is another definition, namely "For the purpose of these Principles, the terms 'launching State' and 'State launching' mean the State which exercises jurisdiction and control over a space object with nuclear power sources on board at a given point in time relevant to the principle concerned." For the purpose of principle 9 (Liability and Compensation) the definition of the term "launching State" as contained in that principle is applicable as mentioned in the Liability Convention.

It is clear that problems could arise in identifying and deciding which State will be responsible for the activities of private companies. We now have not only the State which launches the satellite of a private company which will be responsible, but also the State which will be responsible for the manufacturing of a satellite done by a private company.

According to Article VI of the Outer Space Treaty the launching State remains responsible for the activities of private companies, so the question arises if, in addition to this type of responsibility, the State where the company has been established will also be responsible for the activities of a private company. In case of international cooperation, more than one State could be responsible for the damage caused by a launching that goes wrong: among them the State which exercises jurisdiction and control over a space object with nuclear power sources on board. Awford has even made a list of 15 States which would, in a certain situation, be responsible as a launching State.[12]

Advisory opinions

During the session on space law of the Court, Von der Dunk suggested that the role of the Court as regards space law should be extended to give the Court some kind of competence to provide advisory opinions, not at the request of one of the parties in the case, but as a kind of law-defining statement. There are several examples of the Court giving advisory opinions, but the Court never gave an advisory opinion outside a case and on its own initiative.[13]

It was not the first time that this item was discussed. In 1933 Lauterpacht had stated that '...the general and direct availability of Advisory Opinions might prove yet another instrument for the initiation of the process of peaceful change on the basis of judicial pronouncements

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11 Principles Relevant to the Use of Nuclear Power in Outer Space, December 14, 1992. For a text, see Annex 8 to AN INTRODUCTION TO SPACE LAW, *supra* note 4, at 201-208.

12 I. Awford, *Legal Liability Arriving from Commercial Activities in Outer Space, in* RESEARCH AND INVENTION IN OUTER SPACE, LIABILITY AND PROPERTY RIGHTS 95-110 (Sa'id Mostestar ed. 1995).

13 *See Equipping the Court, supra* note 9, at 458-460.

which have in strict law no binding force, but which constitute at the same time an authoritative expression of the existing law'.[14]

According to this line of thinking the States themselves could ask for an advisory opinion of the Court. But besides this option an advisory opinion of the Court on its own initiative could be useful in view of the experience and the authority of the Court. Those advisory opinions could clarify obscure points in treaties or laws which the Court deems necessary and desirable. This would also be useful for space law.

In the session on space law of the International Court of Justice Colloquium, Jasentuliyana referred to the question whether organizations could be parties to a dispute before the Court. In his opinion a dispute between ITU and INMARSAT could be brought to the Court. He mentioned that this would prove that the ICJ has a role to fulfill in space law, the more so as in space law the responsibility for space activities still rests on the States, and the ITU had recognized the ICJ in its statutes. I think this is an interesting question and I do not see a valid reason why a form of cooperation between States, realized in an organization, could not be involved in the settlement of disputes before the Court, although admittedly in Article 34 of the Court it is expressly stated that 'Only States may be parties before the Court'. It may be desirable to add a clause to Article 34 saying that an organization of States may also be a party in a dispute for the Court.

In that case one State, member of an organization of States, could be appointed as a representative of that organization to be a party in a dispute before the Court. In that context there is also the problem whether one State and an organization of States, when represented by one State, can be considered as equal parties.

Another complication would arise if a State does not fancy starting a dispute against a certain State in this organization. In the session dedicated to the subject 'Increasing the use and appeal of the Court' Judge Kooymans declared: 'It is no longer exceptional that States transfer parts of their sovereign rights to an association or organization of States, which becomes the new holder of such sovereign rights.' As an example, he mentioned the European Community, saying 'but it certainly cannot be excluded that this will become a quite common trend'.[15]

This latter may be considered not to be of paramount importance in cases where private legal problems are involved. Moreover, in such disputes arbitration will be the only possibility, as things are at present.

A point mentioned by Böckstiegel[16] is the question whether a special chamber could deal with several cases simultaneously, in case a

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[14] HERSCH LAUTERPACHT, THE FUNCTION OF LAW IN THE INTERNATIONAL COMMUNITY 336 (1933).

[15] *Increasing the Use and Appeal of the Court, in* INCREASING THE EFFECTIVENESS, *supra* note 7, at 62.

[16] K.-H. Böckstiegel, *The Settlement of Disputes Regarding Space Activities After 30 Years of the Outer Space Treaty, in* OUTLOOK ON SPACE LAW OVER THE NEXT 30 YEARS 237-249 (G. Lafferranderie and D. Crowther eds., 1997).

speedy procedure would be deemed essential. It is a matter for the International Court of Justice to consider when a special chamber for space law is to be established. Furthermore, I would like to mention Böckstiegel's suggestions for an efficient case management in the same study.

Observations on methods and cases

The cases and methods of dispute settlement in space law were also reviewed in a session of the International Institute of Space Law,[17] in which session Williams dealt extensively with the proposals of the International Law Association, giving as her opinion that inasmuch as most of the provisions of the proposed Convention on the Settlement of Disputes related to Space Activities are applicable at the present time, a new international instrument is not necessary. In that same session, Safavi gave a survey of the different issues that could give rise to disputes, namely: disputes occurring from civil space activities; disputes occurring from criminal acts; a combination of the two above mentioned cases; and disputes resulting from the application and interpretation of principles mentioned in international conventions and treaties.[18]

A very special case has been commented on by Zhukov and Veshchunov, namely the liability for copyright infringement in the case of TV transmission via satellite (Essel Vision's claim against Intersputnik). This is a good example of a practical application which will become more and more frequent as telecommunications is the most used activity of satellites in outer space. Zhukov and Veshchunov commented on a case that occurred in 1993. The dispute was between two broadcasting companies which accused each other of being in breach of copyright. The authors give the following facts: 'In 1993, India's Essel Vision (a subsidiary of ZEE TV) stated that its right for public demonstration of films in India had been violated by Asia United Media Ld. (AUM) registered in the UK. AUM leased communications channels from Intersputnik. It was stated that Intersputnik bore joint responsibility with AUM that was in breach of copyright. According to the plaintiff's lawyers, who referred to a provisional authority of the Bombay High Court, the case could be submitted to a Russian court if Intersputnik did not take appropriate measures. The plaintiff's statement at the Bombay High Court could be reduced to the idea that video copyright holders had no right to transmit video cassettes through satellite and cable TV, as defined in Section 14(c) of the Copyright Law of India. In the plaintiff's opinion the copyright for the video cassettes was transferred to the owners only for direct-to-home service. In the decision of October 27, 1993, the Bombay High Court found the plaintiffs' arguments convincing but did not pass any final award. At the same time, the plaintiffs objected (even considering arbitration

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17 *Cases and Methods of Dispute Settlement in Space Law*, 39 PROC. COLLOQ. L. OUTER SPACE, 61-84 (1996).

18 H. Safavi, *Cases and Methods of Dispute Settlement in Space Law*, 39 PROC. COLLOQ. L. OUTER SPACE, 68-72 (1996).

proceedings) against film satellite transmissions via channels originating in Russia whenever AUM had no appropriate copyrights. At Intersputnik's request, the President of AUM advised that his company had all necessary rights to demonstrate TV programs in India and flatly repudiated the alleged copyright violation."[19]

As I mentioned before: in space law disputes between private parties, arbitration is the only means of settlement. I would like to add some observations about the awards in arbitration on commercial space matters. In an interesting article Menzies pointed out that on "1 September 1995 the 1994 Arbitration Act came into effect in the People's Republic of China". Of international importance is the Chinese International Commercial Arbitration Commission (CIETAC) which has jurisdiction to hear foreign related arbitration. As Menzies explained, this is a particular form of arbitration that is dealt with in Chapter 7 of the Arbitration Act. Thus CIETAC's Arbitration Rules have to be followed when dealing with China. But the meaning of the word 'commercial' in the UNCITRAL Model Law will be taken into account.[20]

In view of the increasing volume of private activities in space, national laws in the special field of space law become ever more important. It will certainly be necessary in space law to use the modern term 'globalization'. Combining the adaptation and harmonization of national space laws with existing treaty regulations and principles in international space law will be a problem that needs to be addressed urgently.

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[19] G. P. Zhukov and V. S. Veshchunov, *Liability for Copyright Infringement in the Case of TV Transmission via Satellite (Essel Vision's Claim against Intersputnik)*, 39 PROC. COLLOQ. L. OUTER SPACE, 73-74 (1996).

[20] I. Menzies, *The Recognition and Enforcement of Arbitral Awards in the People's Republic of China*, AUSTRALIAN INT'L L. J., 111-129 (1996).

PROSPECTIVE SPACE LAW

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Introduction

The exploration of outer space and celestial bodies gave an unprecedented opportunity to legal science: an omni-comprehensive vision of present and future situations. Among the many innovations that it brought about, further remarks will be made on seven which relate to the following briefly indicated subjects and corresponding headings:

1) The recognition of new legal subjects, in particular the enshrinement of the concept of mankind as an international legal subject;

2) Abolition of the principle of sovereignty in space and its replacement by the principle of jurisdiction and control;

3) Full compensation for damages caused by space activities;

4) Outer space, celestial bodies and their natural resources regarded as the common heritage of mankind;

5) Astronauts regarded as envoys of humankind;

6) International cooperation as an obligation in space activities;

7) International liability of states for damages caused by space activities.

1) Recognition of Mankind as an International Legal Subject

The first opportunity I had to express the need to recognize and proclaim mankind as a legal subject was in 1944. At the end of my examination on Public International Law, the tribunal asked me to speak about the meaning of 'international community'. I answered that it is improper to utilize the term community in connection with a reference to States, due to the fact that this word is applied to associations of persons with a superior aim. The exceptions to this would be the United Nations and the organs of its system. For this reason, the term is rightly spoken of with reference to religious communities, as well as human groups that gather scientists, writers, artists.

In 1962, I wrote that Space Law rules are applicable to all activities of man in outer space which serve an interest on Earth. The word man was taken, of course, in the sense of mankind. In my paper, I anticipated the emergence of mankind as a new subject created by Space Law.[1]

The 1967 Space Treaty in the first paragraph of its Preamble states: *Inspired* by the great prospects opening up before mankind as a result of man's entry in outer space. Thus, in this brief paragraph the word 'prospect' is used for the first time in an international instrument and

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[1] A. A. Cocca, *Basic Statute for the Moon and Heavenly Bodies,* 5 PROC. COLLOQ. L. OUTER SPACE 36 (1963).